

Executive summary

01

Chips Category Review

- Demographic drivers shape purchasing decisions: Age, household structure and affluence level directly influence crisps purchase preferences.
- Pack size preference centres on mid-range: 175g and 150g packs contribute nearly 40% of revenue, reflecting a 'moderate consumption' mindset.
- Purchase occasions are highly singular: 99.35% of transactions involve a single item, indicating mission-driven shopping behaviour.

02

Tril Analysis

- Pre-trial decline: All three stores showed a consistent drop in customer count (Jul 2018 – Jan 2019).
- Post-intervention growth: All trial stores achieved significant customer count increases following the new marketing strategy, with Store 77 reaching a peak monthly growth of 56.14%.
- Results are both statistically and commercially significant, supporting the case for broader rollout.

01

Category

Customer Base Distribution across Life Stages

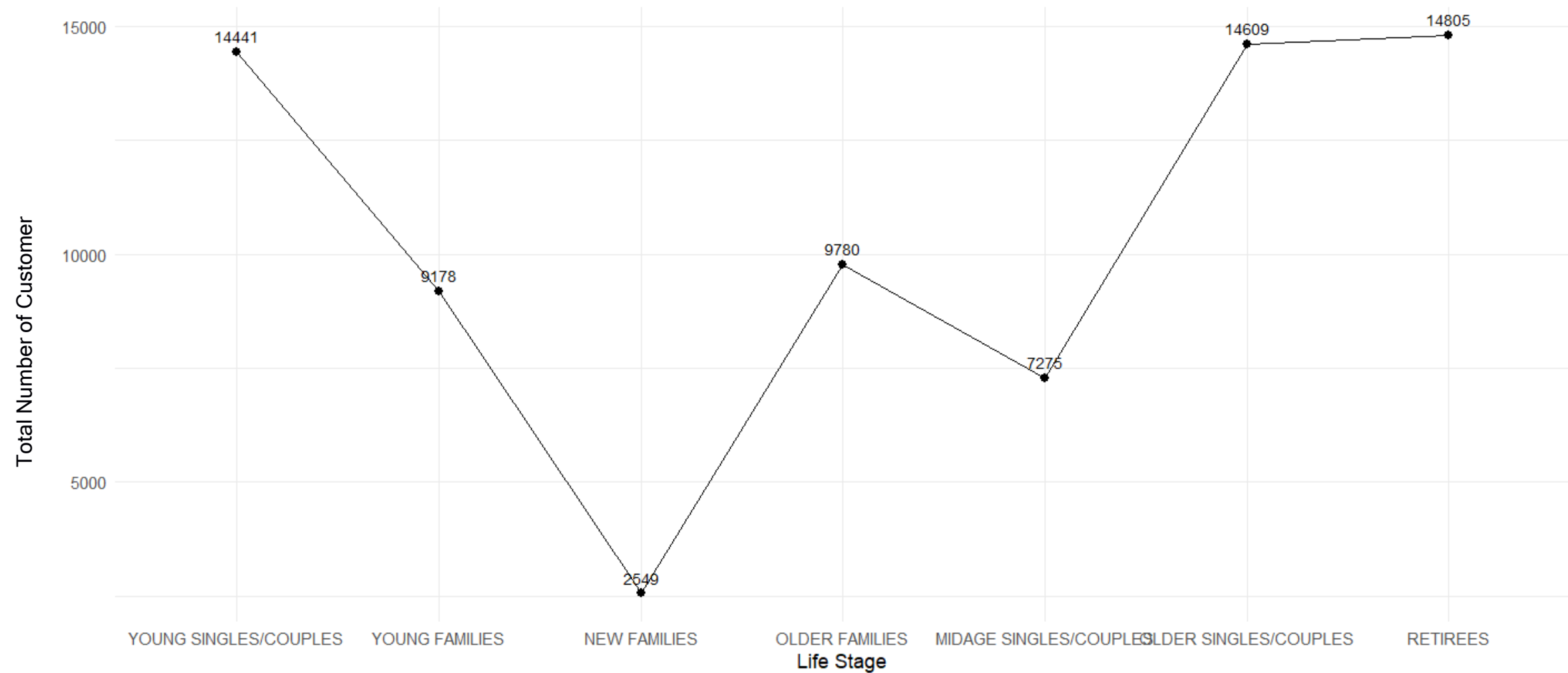


Figure 1: Purchasing behavior analysis showing total number of purchases across customer life stages

Total Customers by Life Stage and Customer Type

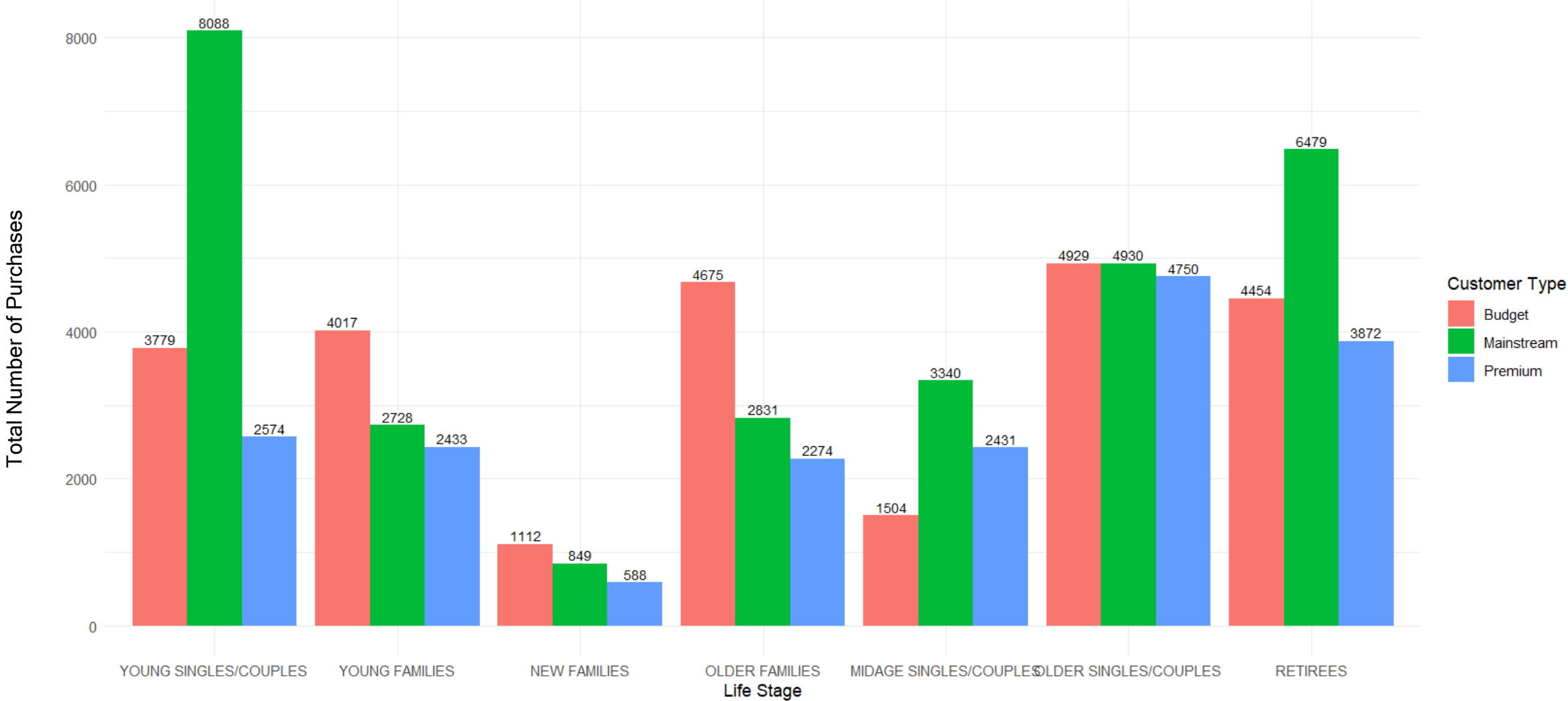


Figure 2: Purchasing portfolio analysis across customer life stages, illustrating the value distribution among budget, mainstream, and premium segments

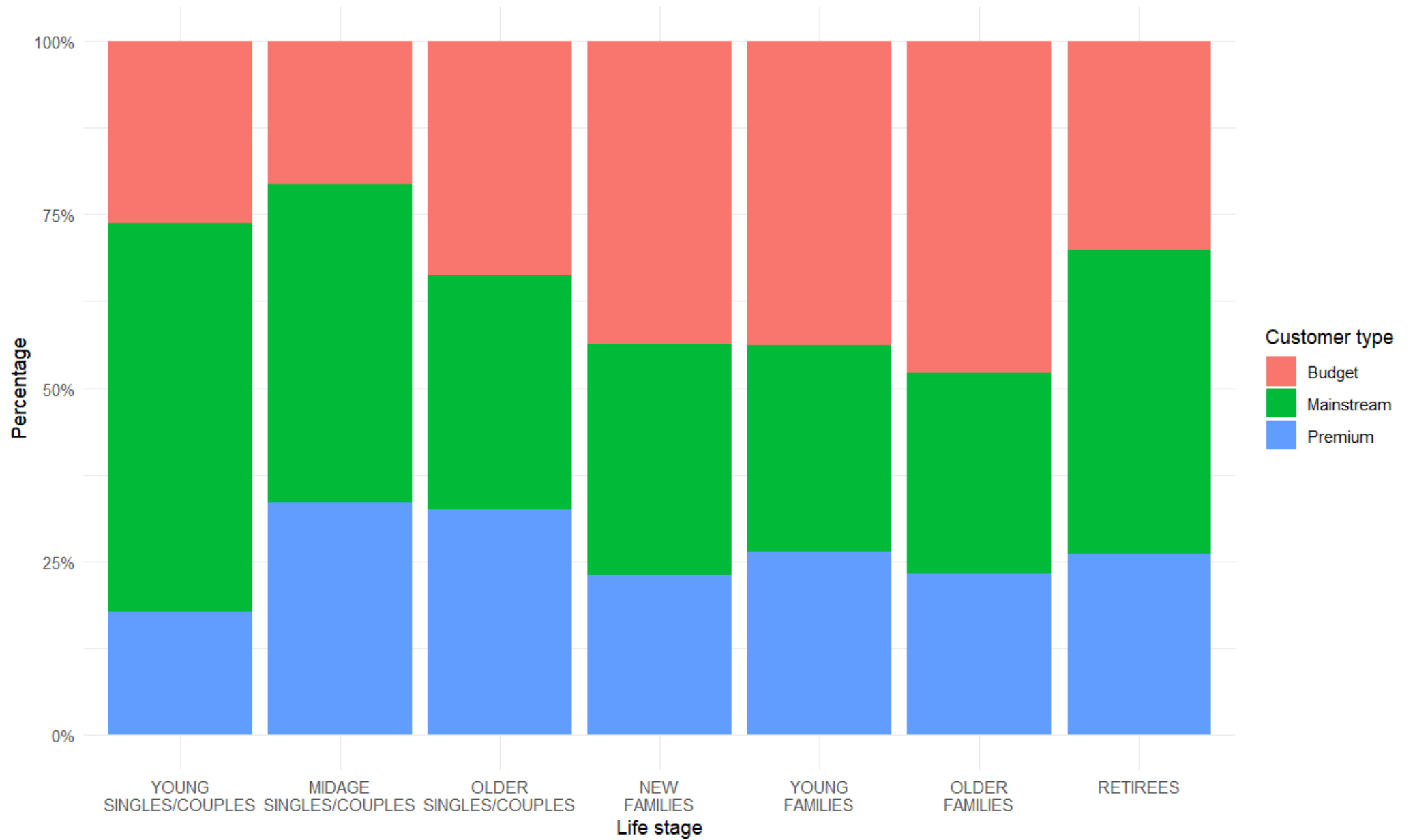


Figure 3: Customer segmentation analysis showing demographic distribution across budget, mainstream, and premium customer types

A Three-Dimensional Analysis of Crisps Consumption

I. Customer Segmentation

- Premium Segment: Middle-aged and older consumers without family dependents. They prioritise brand and quality, with premium product share exceeding 25%.
- Mainstream Segment: Younger consumers and retirees. They prefer balanced choices, with mainstream products comprising approximately 50% of purchases.
- Value Segment: Households with families and budget-conscious consumers. They predominantly purchase budget-friendly products, accounting for nearly 50% of this group's purchases.

II. Product Preference

- Pack Size: 175g > 150g > others. Sizes under 180g dominate the market.
- Price Tier Selection: Although stores focusing on premium products are fewer (14.3%), their average store revenue (\$541K) significantly exceeds that of stores focusing on budget products (335K).

III. Purchase Patterns

- Transaction Structure: 99.35% of transactions involve a single item, indicating substantial untapped potential for cross-selling.
- Associative Purchasing: Multi-item transactions consistently show patterns of "same brand, same flavour, same pack size".

Affluence & Consumption Tiers: How Wealth Drives Crisp Purchase Decisions

I. Characteristics of the Premium Consumer Segment:

- Primarily consists of middle-aged and older consumers without children.
- Purchase motivation centres on brand, quality, and experience, rather than price sensitivity.
- Within the crisp category, they show a clear preference for premium product ranges.

II. Characteristics of the Mid- to Low-Income Consumer Segment:

- Mainly comprises young families with dependents and retirees.
- Purchase decisions are significantly influenced by budget constraints, household needs, and practicality.
- Preference leans towards mainstream and economy products, with a focus on value for money.

III. Market Implications of Wealth-Driven Behaviour:

- Crisps are not merely a "low-cost snack"; there is a distinct consumption hierarchy.
- The premium product line has a stable, high-value customer base, suitable for brand building and loyalty cultivation.
- The mid- to low-end market has large volume but fierce competition, requiring targeted promotions and product bundling to increase penetration.

02

Trial store performance

Control Store Methodology: Purpose, Selection & Value

I. Core Purpose: Ensuring Scientific Attribution

- Isolates external factors by maintaining standard operations during trials, providing a clean "what if" baseline to isolate strategy impact.
- Quantifies true incremental lift through direct trial-control comparison, separating strategy-driven growth from market trends.
- Serves specifically for causal analysis, distinguishing it from regular stores used for general trend observation.

II. Selection Criteria: Rigorous Matching Protocol

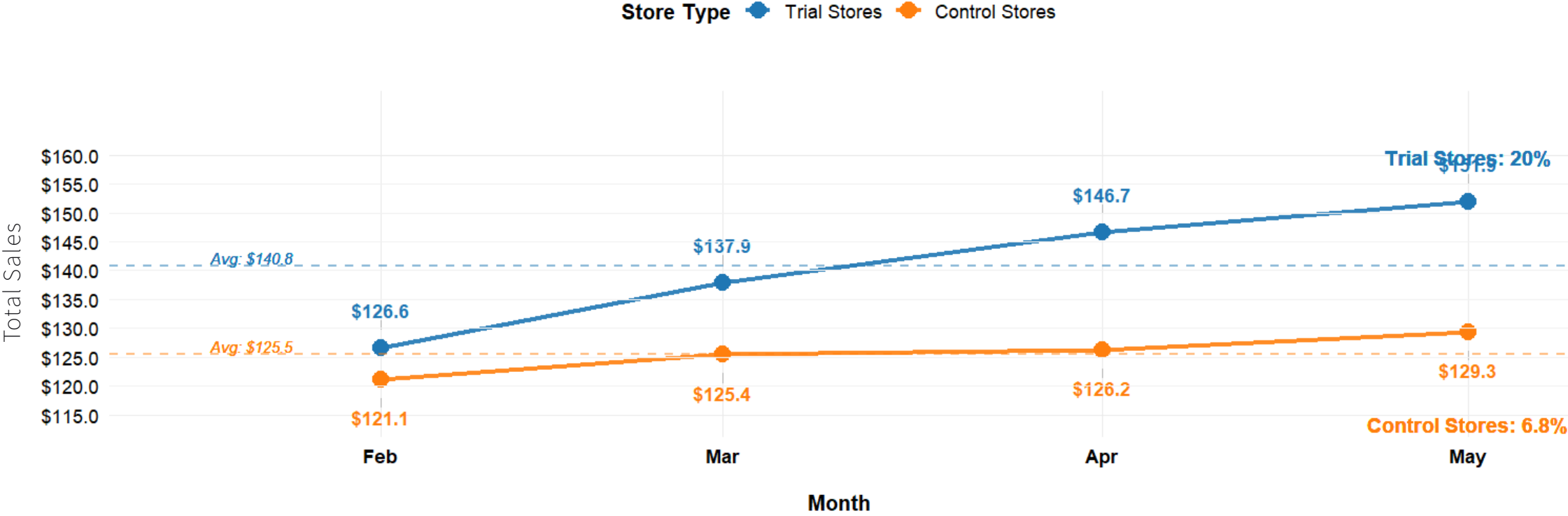
- Statistical match ensures pre-trial customer trends align closely (similarity score <0.01).
- Sales scale alignment maintains comparable revenue levels and growth patterns.
- Operating environment similarity in location, competition and customer profile.

III. Strategic Value: Decision-Quality Advantages

- Credible conclusions through statistically validated attribution.
- Scalable insights with reduced rollout risk due to matched store characteristics.
- Resource efficiency requiring only targeted testing versus network-wide A/B trials.

Total Sales Comparison: Trial Stores vs Control Stores

February - May 2019 | Four-Month Performance Analysis



Data Source: Monthly Sales Reports | Period: Feb 1 - May 31, 2019

Figure 4: Sales comparison: trial stores vs control stores from February to May 2019

Performance Evaluation: Measuring Impact & Validating Success

I. Success Evaluation Framework

- Statistical Significance: t-values > 1.943 at 95% confidence level.
- Business Significance: Growth surpasses normal market fluctuation levels.
- Growth Consistency: Majority of trial months show positive progression.

II. Store Performance Highlights

- Store 77: Strong growth acceleration (+56.14% peak), 2/3 months significant.
- Store 86: Most consistent performer (all months significant), +13.68% average growth.
- Store 88: Stable growth profile (lowest volatility), 2/3 months significant.

III. Conclusions & Recommendations

- Trial successful – all stores achieved statistically significant growth.
- Strategy effective – particularly strong in stores with aligned customer profiles.
- Rollout recommended – implement in stores sharing similar characteristics.

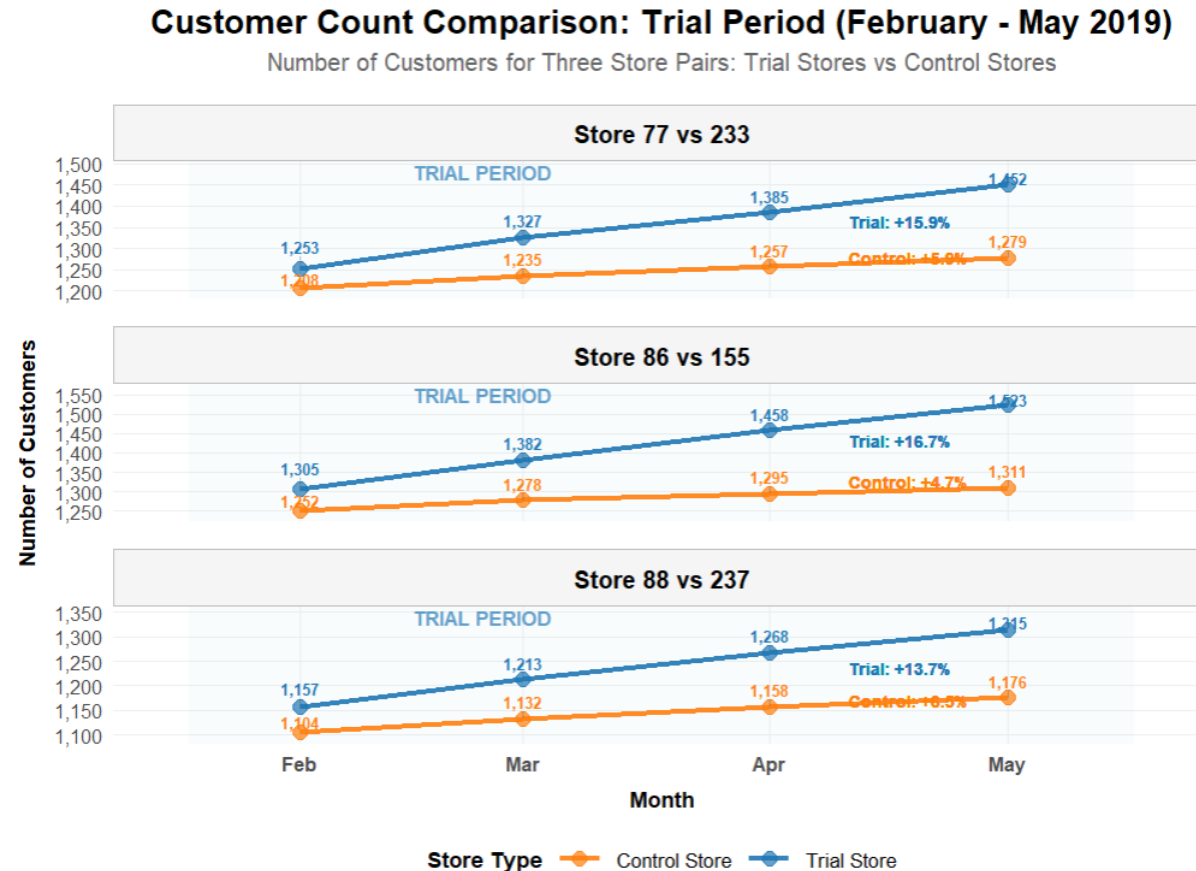


Figure 5: Monthly customer count trends across three store pairs during the trial implementation phase